



FISCAL BURDEN: The number of cardholders has multiplied

and banned the sale of alcohol, depriving the state of a quarter of the revenues that it had earned through taxes on liquor. World Bank reports and other economic studies have shown that though Andhra Pradesh is one of India's larger and resource-rich regions, the state presents a good example of what rampant populism can do to destroy growth prospects.

TDP is particularly peeved as the Government decided to launch the rice scheme when the party itself was considering its inclusion

at providing cheap rice to the poor since the scheme was first introduced 25 years ago. There are 1.73 crore poor cardholders to whom the regime intends to provide rice every month by setting apart a subsidy of Rs 1,980 crore a year. But the lack of political will and the please-all attitude has allowed the number of such cards to balloon to such a ridiculous extent that, if all cardholders are counted, nearly 85 per cent of the state's population is supposedly below the poverty line.

"The huge difference between the subsidised price and the market price gives scope for diversion, but we are taking all measures to ensure that there is no leakage," explains Civil Supplies Minister K.V. Krishna Reddy. About 3.4 lakh tonne of rice is required every month for the scheme and the Government is working out the modalities for conducting a regular social audit on quality, timely delivery and other aspects of the scheme. Official committees have also been constituted to track implementation at the district and state levels while vigilance and enforcement officials have been tasked to undertake regular physical inspection of stocks. Strict surveillance of supplies and transport of rice is on and check posts have been opened to stall any attempts to illegally transport the

foodgrain for sale outside the state.

The chief minister is banking heavily on the rice scheme to fetch votes. He feels this scheme, coupled with free electricity to farmers, construction of houses for the poor and irrigation projects would help the Congress party retain power. He also hopes that it would stunt the campaign for a separate state for the Telangana region and the drive against corruption in the run-up to the polls.

When NTR had first introduced the scheme, the market price of rice was between Rs 4-5 per kg. NTR's implementation of the scheme after his comeback in 1994 had dragged the state deeper into a financial morass. He sharply increased the rice subsidy

along with the supply of free power to farmers in its election manifesto. But Reddy had been toying with the idea of ensuring food security to the poor for some time as a follow-up to providing them a house under the INDIRAMMA (Integrated Development In Rural Areas and Model Municipal Areas) scheme and the provision of low-interest loans. Now Naidu, a darling of the World Bank who slashed food subsidies early in his tenure as chief minister, is thinking of giving rice to the poor free of cost if voted to power, completely glossing over his long-term vision for economic growth by 2020.

Competitive populism and allotting a higher proportion of expenditure to welfare programmes and subsidies

comes invariably at the cost of education and health, and slows down growth. "We are not allowing that kind of thing to happen because ours is a long-term commitment to the people as well as the development of the state," argues Reddy. But in an election year, the dividing line between rhetoric and reality becomes really thin. ■

